Investment Memorandum

Northstar Packaging Solutions · Fictional investment opportunity · Prepared for product demonstration only

1. Executive summary

Northstar Packaging Solutions (“Northstar”) is a fictional founder-owned specialty packaging manufacturer seeking $12.0 million of growth equity. The invented case describes FY2025 revenue of $28.0 million and EBITDA of $4.2 million (15.0% margin). Proceeds would fund a production line, working capital, automation and a possible regional add-on acquisition. Preliminary status: further diligence required. No valuation, ownership proposal, return forecast or verified investor interest has been established.

2. Company and business model

The fictional business is headquartered in Columbus, Ohio, with facilities in Ohio and Georgia. It produces recyclable rigid packaging and custom short-run formats for food, personal care and healthcare customers. Custom tooling and flexible production runs are presented as potential differentiators. Verify product mix, customer purchasing criteria, pricing, contract structure and exposure to larger competitors.

3. Financial snapshot (all figures invented)

FY2025 metric	Illustrative value	Status
Revenue	$28.0M	Invented
EBITDA	$4.2M	Invented
EBITDA margin	15.0%	Calculated
Revenue growth	14% YoY	Invented
Repeat-order revenue	~60%	Invented estimate
Capacity utilization	~78%	Invented estimate

4. Transaction and use of proceeds

The fictional sponsor seeks $12.0 million of minority growth equity. Illustrative allocation: $5.0M for a new production line; $2.5M working capital; $2.0M potential add-on acquisition; $1.0M automation and quality systems; and $1.5M fees, contingency and general corporate purposes. Valuation, ownership, liquidation preference, board rights, information rights and exit terms remain unspecified.

5. Preliminary thesis to test

- Capacity expansion could support growth if demand and utilization are validated.
- Repeat B2B relationships and custom tooling may support retention, subject to contract and churn evidence.
- A regional add-on could broaden customer reach and improve purchasing scale, subject to diligence and integration capacity.

6. Key risks and diligence priorities

Customer concentration and contract duration; resin input-price volatility and pass-through; plant utilization, scrap and capex; environmental and workplace compliance; quality of earnings; management depth; acquisition valuation; working-capital seasonality; debt and lien status; and governance / ownership terms. Request audited financial statements, monthly accounts, customer-level revenue and margins, capex history, inventory ageing, debt documents, management references and a detailed operating model.

7. Valuation and returns

No entry valuation, ownership percentage, net-debt bridge, exit multiple, holding period, IRR or MOIC is provided. A real analysis should use relevant public peers and disclosed transactions, normalize financial metrics and document scale, control, liquidity and execution adjustments. Do not infer valuation or target returns from the capital amount alone.

8. Preliminary conclusion

The fictional case is useful for demonstrating a structured screening process, but the available information is insufficient for an investment decision. Validate operating history, customer quality, capex and working-capital needs before establishing valuation and transaction terms. Status: further diligence required; no recommendation made.

DEMO DISCLAIMER: Northstar Packaging Solutions, its management, customers, financials, operating history, transaction and all assumptions are fictional. This is not an actual investment opportunity, offer, solicitation or investment recommendation.